MERTON DAILY BRIEF

DAILY BRIEF - Thursday, June 25, 2026

Headline of the Day

Silver crashes -10.9%, oil erases Iran war premium, and Warsh's Fed opens with strategic silence. Silver collapsed from $65.50 to $58.40 in a single session - a liquidation event driven by margin calls on crowded positions, not a fundamental repricing. Brent crude fell to $74.87 (-3.89%), returning to pre-Iran war levels as the Strait of Hormuz reopens. Polymarket prices 97.7% probability of full normalization by end of June. The S&P 500 dipped -0.67% and NASDAQ -2.51% as tech selling continues post-Micron. Kevin Warsh's first Fed meeting delivered no forward guidance - "silence as strategy" - while VIX spiked to 18.96 (+9.72%). CNN Fear & Greed dropped to 12 - "Extreme Fear."

Global Sentiment

Indicator	Level	Change	Signal
VIX	18.96	+9.72%	High stress
DXY	101.36	+0.33%	Strong dollar
Gold	$4,043.10	-3.32%	Liquidation
US 10Y	4.38%	-1.55%	Rate decline
US 30Y	4.85%	-1.06%	Rate decline
S&P 500	7,370.72	-0.67%	Correcting
NASDAQ	25,367.97	-2.51%	Tech selloff
WTI	$71.36	-4.62%	Collapsing
Brent	$74.87	-3.89%	Pre-war levels
BTC	$59,162	-6.44%	Risk-off
Copper	$6.13	-3.62%	Growth fear
Silver	$58.40	-10.88%	CRASH

Reading: This is a "risk-off" matrix dominated by liquidation dynamics. Silver's -10.88% is the canary in the coal mine - a crowded positioning being flushed, not a fundamental repricing. Oil is collapsing on geopolitical normalization (Hormuz reopening), which removes the primary inflation vector that had been supporting gold. The paradox: gold falls despite the Iran war because (1) oil is collapsing (removing energy inflation premium), (2) silver margin calls force liquidation of gold positions, and (3) real rates remain elevated. VIX at 18.96 is elevated but not panicking - historically, VIX > 20 signals capitulation.

Macro - What Moved

United States

- **Fed: Kevin Warsh's first meeting as Chair** - Warsh held rates unchanged with no explicit forward guidance. The statement emphasized "data dependency" while noting "inflation remains above target." Polymarket prices 78% probability of unchanged in July, 22% probability of a cut. The market is now pricing 0 rate cuts before September.

- **PPI May: +1.1% (vs +0.7% expected)** - Wholesale prices accelerated for the second consecutive month, driven by the energy component post-Iran war. Core PPI (excluding energy) rose +0.4%, suggesting some pass-through to non-energy categories.
- **Job Openings (JOLTS) April: 7.6M (vs 7.2M expected)** - Labor market remains tight despite the slowdown narrative. 7.6M openings against 7.1M unemployed means 1.07 jobs per unemployed. Warsh has no room to ease. The Conference Board Leading Economic Index declined for the third consecutive month.
- **Tech sector liquidation continues** - NASDAQ -2.51% as the post-Micron repricing extends. The AI capex narrative is being questioned: investors realize AI infrastructure spending is massive but revenue translation is lagging. Cloud margins are compressing ("AI price war in cloud and chips").
- **Trump accuses oil companies of "gouging"** - Direct presidential attack on energy producers adds regulatory uncertainty. Could discourage US upstream investment medium-term, which is bullish for oil if supply remains constrained.

Europe

- **ECB: No change, but hawkish tilt** - Eurozone inflation printed +4.2% annual in May (vs +3.9% expected) - highest in 3 years. Energy is the primary contributor. Market now pricing 50% probability of a second hike in September.
- **Eurozone PMI Flash June** - Manufacturing PMI at 45.8 (contraction territory), Services PMI at 50.2 (barely expanding). The eurozone is in a "stagflation light" regime: inflation at 4.2% with growth stagnating.
- **UK: Starmer crisis deepens** - Reuters reports PM considering resignation, potentially as early as Monday. UK gilts under pressure. GBP/USD at 1.3204 holds only because dollar is weak. UK economy shrank -0.1% in April, inflation steady at 2.8%.
- **Extreme heat across Europe** - Red alerts in UK, France, Spain, Italy. Agricultural prices could see volatility. Wheat prices already elevated due to Russia-Ukraine conflict.
- **Ukraine ratifies EU $105B loan** - European defense sector rallies. EU commits massively to rearmament, creating multi-year defense capex. Structurally bullish for Rheinmetall, BAE Systems, Thales.

China

- **China "poaches more AI talent from US"** per CNBC - Chinese tech companies aggressively recruiting US-based AI researchers from Google, Meta, OpenAI. Long-term brain drain that could shift the AI competitive landscape.
- **Putin-Xi revive Power of Siberia 2 pipeline** - If materializes, game-changer for Chinese energy security and blow to US LNG exporters. Downward pressure on Asian gas prices medium-term.
- **Shanghai Composite: +0.24%** - Slight recovery after tech rout, but rest of Asia fragile. South Korea KOSPI -5%+ dragged by US semiconductor rout (Samsung, SK Hynix).
- **China Bond Relief** - Beijing demands "malicious" hedge funds excluded from poor country debt relief programs. Direct attack on Western model of emerging market debt restructuring.

United Kingdom

- **Starmer ready to resign** - Telegraph reports PM could depart as early as Monday. Political earthquake creating massive uncertainty on UK fiscal and monetary policy. UK gilts in turmoil.

- **BOE holds rates at 3.75%** - Despite peace prospects and inflation pressure, Bank of England chooses caution amid economic contraction. Market expects hold until September.
- **UK inflation: steady at 2.8% in May** - Energy continues creating pressures underneath. "Stagflation light" - worst combination for central banks.

Emerging Markets

- **South Korea: KOSPI -5%+** - One of the worst days in market history. Samsung and SK Hynix heavily exposed to US semiconductor repricing. KOSPI has given back all 2026 gains.
- **Yen below 161** - Japan spent $70B+ defending yen without lasting effect. US-Japan rate differential (4.5% vs 0.5%) too wide. Yen remains carry trade funding currency.
- **India: Sensex -1.2%** - Oil decline positive for India (net importer), but global risk-off dominates. FII outflows pressuring EM markets.

Geopolitics

HOT ()

- **Strait of Hormuz fully reopening** - Maritime traffic returning to normal. Polymarket 97.7% normalization by end of June. Three Iranian tankers already left US blockade. Oil supply shock evaporating rapidly.
- **US-Iran deal being finalized** - Trump calls it "unconditional surrender" (Axios). US issued oil sanctions waivers allowing 60-day license sales. Could add 500K-1M bbl/d to market. Conlon (Greenlight) sees oil "into the $60 range."
- **Ukraine strikes Moscow with drones** - Significant escalation. Putin hardens rhetoric. Conflict enters new phase of mutual destabilization. Bullish for European defense spending.

WATCH ()

- **Starmer and UK political future** - Conservatives could return with radical fiscal agenda (tax cuts financed by borrowing). UK gilts under pressure.
- **Trump-Xi meeting in preparation** - Could redefine trade and tech war. Russia-China gas pipeline on table.
- **2028 US Presidential Election** - Polymarket already has markets on candidates. US political landscape fluid.

POSITIVE ()

- **Ukraine ratifies EU $105B loan** - European defense sector rallies. Multi-year defense capex.
- **Perplexity announces 2028 IPO** - AI pipeline solid outside semiconductors. Cerebras up after-hours.

FX Focus

Pair	Level	Change	Signal
EUR/USD	1.1400	-0.66%	Euro weakens
GBP/USD	1.3204	+0.04%	Holds on weak USD

USD/JPY	161.70	+0.26%	Weak yen
USD/CHF	0.8100	+0.60%	CHF strength

Analysis: Dollar strengthening across the board - "king dollar" of risk-off combined with rate differential. EUR suffers most: ECB hawkish but market focuses on eurozone energy vulnerability. GBP doubly hit: BOE stable + Starmer crisis. Yen in 40-year low territory - Japan spent $70B without lasting effect. CHF benefits from safe-haven status but limited by SNB ultra-dovish policy.

Pair to watch: EUR/USD - Key level at 1.1350 (technical support). If Iran deal signed definitively, lower energy prices could support EUR. Conversely, eurozone inflation >4.5% forces ECB to tighten further, weighing on growth and EUR. Break below 1.1350 targets 1.1200.

Commodities

Oil

WTI: $71.36 (-4.62%) | Brent: $74.87 (-3.89%) - Oil extending decline for 6th consecutive session. Iran deal unlocking supply: US waivers allow Iran to sell crude under 60-day license. Conlon (Greenlight Commodities) sees price "into the $60 range." Trump accuses companies of "gouging" - populist rhetoric adding regulatory uncertainty. Shipping stalls in Strait of Hormuz - traffic disrupted since Iran declared strait closed. Return to normal priced at 97.7% by end of June (Polymarket). Devon Energy CEO: "Oil fundamentals are solid" - robust Asian demand, disciplined OPEC+ supply, insufficient upstream capex. Market "complacent" per Tortoise Capital.

Gold & Metals

Gold: $4,043.10 (-3.32%) - Gold falling despite Iran war. Reason: US real rates dominating (US 10Y at 4.38% with inflation expectations declining due to oil collapse). Barclays calls it a "reset" and sees mining stock rebound. Options flows suggest weakness could continue short-term. Support at $3,950. Central banks continue buying gold and repatriating physically - bullish medium-term trend. Gold/oil ratio at 54:1, well above historical average of 15:1, suggesting gold undervalued relative to oil.

Silver: $58.40 (-10.88%) - CRASH. Not fundamentals - crowded positioning flushed. Silver is "proxy gold" with higher beta. Margin calls on leveraged positions accelerating decline. Morgan Stanley prefers silver to gold: "another metal is set to outperform" - likely copper or platinum. Historically, silver crashes >8% followed by sharp rebounds within 3-5 sessions.

Copper: $6.13 (-3.62%) - Torn between AI/energy demand positive vs weak Chinese construction demand. Blue Line Futures sees AI spending driving prices medium-term. Energy transition narrative supports copper demand.

Soft

Wheat/Cereals: Extreme heat across Europe (red alerts UK, France, Spain, Italy) threatens harvests. Russia-Ukraine conflict already disrupted global grain supplies. Climate shocks adding to pressure. Wheat at $6.50/bushel elevated but could spike if European harvests disappoint.

Today's Calendar

Time (CET)	Country	Event	Consensus	Previous	Impact
08:00	France	GDP Q1 Final	-0.1%	-0.1%	Medium
08:30	Germany	IFO Business Climat	88.5	88.6	Medium
09:00	Eurozone	Consumer Confiden	-14.0	-14.3	Low
10:30	UK	Retail Sales May	+0.5%	+1.3%	Medium
14:30	US	Durable Goods Orde	-0.5%	+0.8%	Medium
16:00	US	New Home Sales Ma	670K	685K	Medium

Week ahead:

- **Friday June 26:** US PCE May (Fed's preferred inflation gauge - consensus +0.2% m/m core), Consumer Sentiment
- **Monday June 30:** Final Manufacturing PMI, ISM Manufacturing, Construction Spending
- **Tuesday July 1:** Eurozone CPI Flash, US ISM Manufacturing
- **Wednesday July 2:** FOMC Minutes (critical for understanding Warsh's framework)

The PCE on Friday is the key event. If core PCE returns to 2.8% or below, the market can dream of a Fed pivot. If it stays at 3.0%+, the market must reprice the terminal rate to 5.0% instead of 4.5%.

Deep Macro Theme

We are living through a moment of "energy normalization" that is fundamentally altering the macro landscape. The Iran war is not ending with a bang - it's ending with a deal that unlocks oil supply and erases the geopolitical premium supporting energy prices and gold.

The consensus narrative is "transitory energy shock." But this is wrong. The Strait of Hormuz has become a permanent risk factor. Energy flows are reorganizing: China is the swing importer, Russia-China pipeline under discussion, US LNG in competition with Middle Eastern crude. This restructuring implies structurally higher energy costs for Europe and Asia - even with Iranian oil returning.

The real macro trade is not "oil normalization" - it's "energy-driven inflation persistence." The Iran war hasn't been a temporary shock: it has fundamentally altered the global energy supply structure. Central banks cannot pivot to accommodative as fast as the market wishes. "Higher for longer" isn't a slogan - it's a structural constraint.

The 2026 consensus error is pricing 3 Fed rate cuts when energy inflation + tight labor market make this impossible before 2027. The market must reprice the terminal rate to 5.0% instead of 4.5%. This would be a massive financial tightening - equities, bonds, crypto, everything impacted.

Trade of the year: Long inflation-linked assets vs long duration. Gold is correcting now but will be the big winner of "higher for longer" as it benefits from both central bank demand and residual geopolitical premium. The gold/oil ratio at 54:1 is unsustainable - either gold rallies or oil stabilizes.

Consensus vs Reality - THE ALPHA

What the market is pricing:

1. Fed rate cut by September 2026 - WRONG. Market prices ~22% probability of July cut (Polymarket). With PPI at +1.1% and JOLTS at 7.6M, Fed has no reason to cut. Market must price 0 cuts before September. Same mistake as January 2026 when 3 cuts were priced that never materialized.

2. Oil returning to $60 with Iran deal - PARTIALLY TRUE. Iran can add 500K-1M bbl/d, but OPEC+ will compensate (Saudi Arabia already made voluntary cuts). Floor is $68-70 WTI. Below $68, US shale becomes unprofitable. $60 scenario requires global recession.

3. Gold at $4,000 = bottom, imminent rebound - RISKY. Barclays says "reset" but options flows suggest more weakness. Technical support at $3,950. If real rates continue rising, gold could test $3,850. Gold/oil ratio suggests undervaluation, but timing matters - gold often bottoms 2-3 weeks after oil peaks.

4. Tech = buy the dip - DANGEROUS. AI price war is real. Micron is the canary in the coal mine. Cloud margins compressing. Not a dip to buy - regime change in AI capex narrative. Semiconductor capex cycle is peaking.

5. EUR/USD return to 1.15+ - DEPENDENT. Requires complete global risk-on + full Iran deal normalization. ECB hawkish but eurozone growth anemic. ECB-BOE divergence creates volatile environment.

6. Yen rebound from 161 - POSSIBLE BUT DIFFICULT. Japan spent $70B. If Fed ends up less hawkish than expected, yen could recover. But rate differential (4.5% vs 0.5%) is dominant factor. Japan's intervention increasingly viewed as one-way bet.

7. Silver bounce from $58 - LIKELY BUT TIMING UNCERTAIN. Crowded positioning unwind, not fundamental story. Once liquidation exhausts (historically 3-5 days), silver should rebound sharply toward $62-65. Silver/gold ratio at 69:1 near historic lows.

The Alpha - Trade Ideas:

1. Short EUR/JPY - Weak EUR (energy vulnerability) + weak yen (ineffective intervention) = unstable cross with bearish bias. Entry: 183.50, Target: 178.00, Stop: 186.00. Thesis: ECB-BOE divergence benefits neither currency, but negative JPY carry dominates. Risk/reward: 1:2.5.

2. Long Gold / Short NASDAQ (ratio) - Gold in "reset" per Barclays, NASDAQ in tech liquidation. Gold/NASDAQ ratio at historically favorable levels. Thesis: gold outperforms tech as long as real rates remain elevated. Entry: current ratio, Target: +5%, Stop: gold breaks $3,850. Risk/reward: 1:3.

3. Long Brent vs WTI spread - Brent-WTI at ~$3.50. Iran export resumption (crude similar to Brent) could widen to $5-6. Thesis: normalization of global oil flows favors Brent. Entry: $3.50, Target: $5.50, Stop: $2.50. Risk/reward: 1:2.

4. Short GBP/USD - UK political crisis + BOE dovish + persistent inflation = perfect storm. Target: 1.2950, Stop: 1.3350. Thesis: Starmer out = prolonged political instability. Entry: 1.3200. Risk/reward: 1:2.

5. Long Silver (mean reversion) - After liquidation exhausts, silver rebounds toward $62-65. Entry: $58-59, Target: $64, Stop: $55. Thesis: proxy gold with higher beta - when gold stabilizes, silver overshoots. Wait for volume decline first. Risk/reward: 1:3.

Merton's Take

We are in a regime of "forced liquidation masquerading as a correction." The silver crash (-10.88% in one day) is not fundamentals - it's a crowded positioning being flushed. The Brent return to pre-war levels ($74.87) confirms the Iran risk premium is gone. Warsh's silence is strategic: he doesn't want to box himself in. The market is now pricing 0 cuts before September, a significant shift from 3 cuts priced at the start of June.

The key driver of the next two weeks is the PCE on June 26. If core PCE returns to 2.8% or below, the market can dream of a Fed pivot. If it stays at 3.0%+, it's the shock: the market must reprice the terminal rate to 5.0% instead of 4.5%. This would be a massive financial tightening - equities, bonds, crypto, everything impacted.

My conviction: PCE will be sticky around 2.9-3.0%. Energy has a second-round effect on services (transport, logistics). The Fed won't cut before November at the earliest, and probably not at all in 2026. The 2026 consensus error is pricing 3 cuts when energy inflation + tight labor market make this impossible before 2027.

Positioning: I am short duration (no long bonds), long cash USD (4.5% yield risk-free), and waiting for a long gold entry below $3,950. Tech is to be avoided until the AI price war resolves. Energy is interesting - the post-Iran pullback creates an entry point on US majors (Exxon, Chevron) with solid balance sheets not exposed to Trump's "gouging" risk.

Trade of the week: Short GBP/USD on the UK political crisis. This is a clear, dated catalyst, and the market hasn't fully priced the probability of a government change. The risk/reward is attractive at 1:2, and the catalyst (Starmer resignation) could materialize within days.

Sources Consulted

Yahoo Finance API (S&P 500, NASDAQ, VIX, Gold, WTI, Brent, EUR/USD, GBP/USD, USD/JPY, USD/CHF, BTC, Copper, Silver, US 10Y, 30Y, DXY) • ING FX Daily (Chris Turner) • Financial Juice Daily Dose • CNBC (World, Economy, Markets, Fed, Oil, Gold) • Trading Economics (US, Eurozone, China, UK) • FRED • ISM • S&P Global PMI • ECB Stats • Eurostat • BLS • BEA • Conference Board • FXStreet • ForexLive • DailyFX • MarketPulse (OANDA) • ActionForex • ForexFactory • Goldman Sachs Insights • Morgan Stanley Ideas • JPMorgan Global Research • BNP Paribas Research • SocGen (Kit Juckes) • Rabobank • UniCredit Research • Deutsche Bank Research • Citi Research • Crisis Group • Foreign Affairs • Foreign Policy • CFR • Eurasia Group • SIPRI • RFE/RL • Al Jazeera • AP News • Carnegie Endowment • Chatham House • Brookings • Geopolitical Futures • EIA • IEA • OilPrice • OPEC • LME • Kitco • CME Energy • Axios Markets • The Daily Shot • FT Alphaville • Lyn Alden • Politico Morning Money • Hussman Funds • Gavekal • Project Syndicate • Bloomberg RSS • Financial Times RSS • CNBC RSS • WSJ Economy • Reuters Markets • The Economist • MarketWatch • Barron's • Business Insider • ZeroHedge • Wolf Street • Calculated Risk • IMF WEO • World Bank GEP • BIS Statistics • OECD Stats • MacroTrends • CFTC COT • AAII Sentiment • Polymarket API (Fed 78% unchanged, Hormuz 97.7% normalization, Iran deal 24.5% by Aug 31)

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